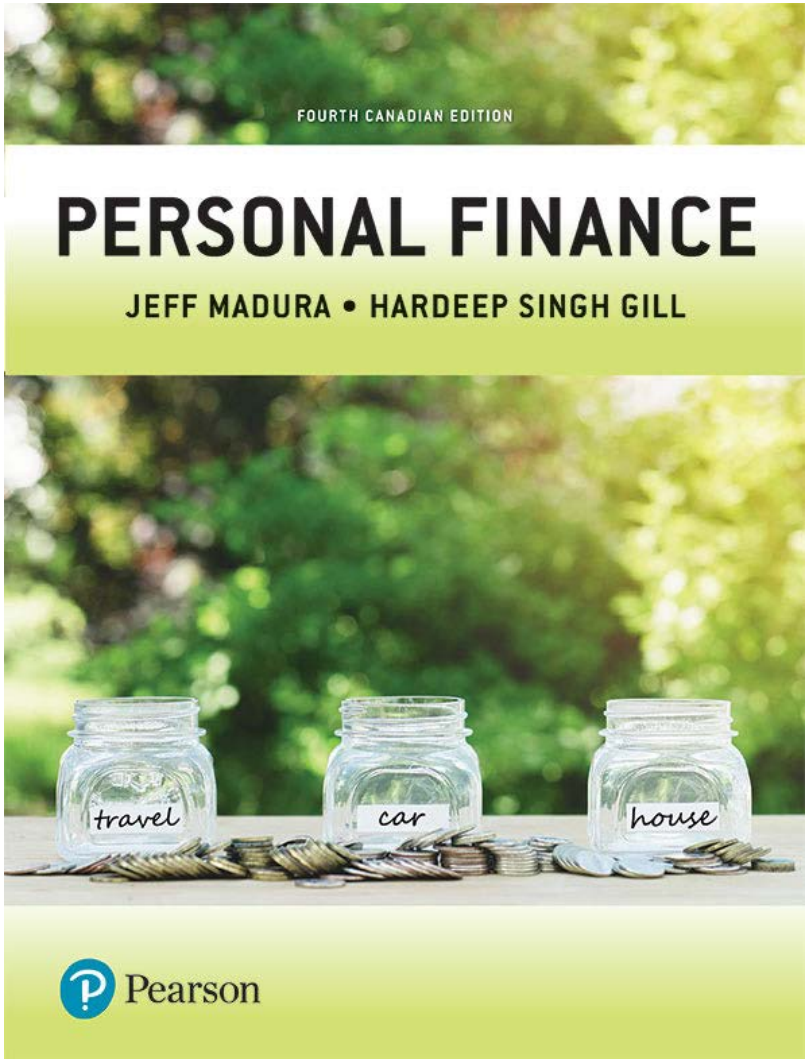
Personal Finance

Fourth Canadian Edition



PART 1

Using Tax Concepts for Planning

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Chapter Objectives

- Explain the importance of taxes for personal financial planning
- Explain when you have to file a tax return
- Outline the steps involved in completing a tax return
- Describe the major deductions available to a taxpayer
- Show how tax credits can be used to lower tax payable
- Describe the difference among tax planning, tax evasion, and tax avoidance
- Describe tax planning strategies that can be used to reduce tax payable

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Personal Income Taxes

- taxes imposed on income you earn and are withheld as that income is earned
- The employer uses the TD1 to determine how much tax to withhold
- Self-employed individuals must estimate the amount of taxes payable
- For any year that you earn income, you must file a tax return
  - T1 General Income Tax and Benefit Return (T1 General), plus supporting documents

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Taxes Paid on Consumer Purchases

- Consumer taxes, such as the goods and services tax (GST) and provincial/harmonized sales taxes (PST), are paid at the time of a transaction
- GST is federal tax, PST is provincial, some provinces combine them and have harmonized sales tax (HST)
- Excise taxes: special taxes levied on certain consumer products such as cigarettes, alcohol, and gasoline

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Taxes Paid on Capital Assets

- Capital asset: any asset that is acquired and held for the purpose of generating income
- Generally, tax is paid on capital assets when they are sold, gifted, transferred or inherited
- Can generate capital gain or loss (discussed later)

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Taxes Paid on Property

- Homeowners pay property taxes on the value of their homes and land
- Major source of revenue for municipal governments
- Based on the assessed value of your property

Free App:
Sales Tax CANADA

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Do You Have to File a Tax Return? (1 of 2)

- Yes, if:
  - You have to pay tax for a calendar year
  - The CRA sent you a request to file a return
  - You and your spouse or common-law partner elected to split pension income for the calendar year
  - You received Working Income Tax Benefit (WITB) advance payments in the calendar year
  - You disposed of property in a calendar year or you realized a taxable capital gain

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Do You Have to File a Tax Return? (2 of 2)

- Yes, if (cont'd):
  - You have to repay any of your Old Age Security (OAS) or Employment Insurance (EI) benefits
  - You have not repaid all of the amounts you withdrew from your registered retirement savings plan (RRSP), Home Buyers Plan (HBP), or Lifelong Learning Plan (LLP)
  - You have to contribute to the Canada Pension Plan (CPP)
  - You are paying employment insurance premiums on self employment and other eligible earnings

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Why Students Should File Tax Returns (1 of 2)

- You may be eligible for a refundable GST/HST credit
  - Eligibility criteria:
    - You are 19 years of age or older
    - You have, or previously had, a spouse or common-law partner
    - You are, or previously were, a parent and live, or previously lived, with your child

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Why Students Should File Tax Returns (2 of 2)

- If you do not have any tax payable, your tuition, education, and textbook tax credits can be:
  - transferred to another taxpayer (a parent or grandparent), or
  - carried forward to another tax year when you have tax payable
- You will create (and maximize) RRSP room for future contributions

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Filing Your Return (1 of 2)

- Tax year end is December 31
- Taxes and tax returns must be paid and filed by April 30th of the following year
- Self-employed individual have until June 15th to file income tax returns, although taxes owing must be paid by April 30th
- An interest penalty may be payable if any of these deadlines are missed

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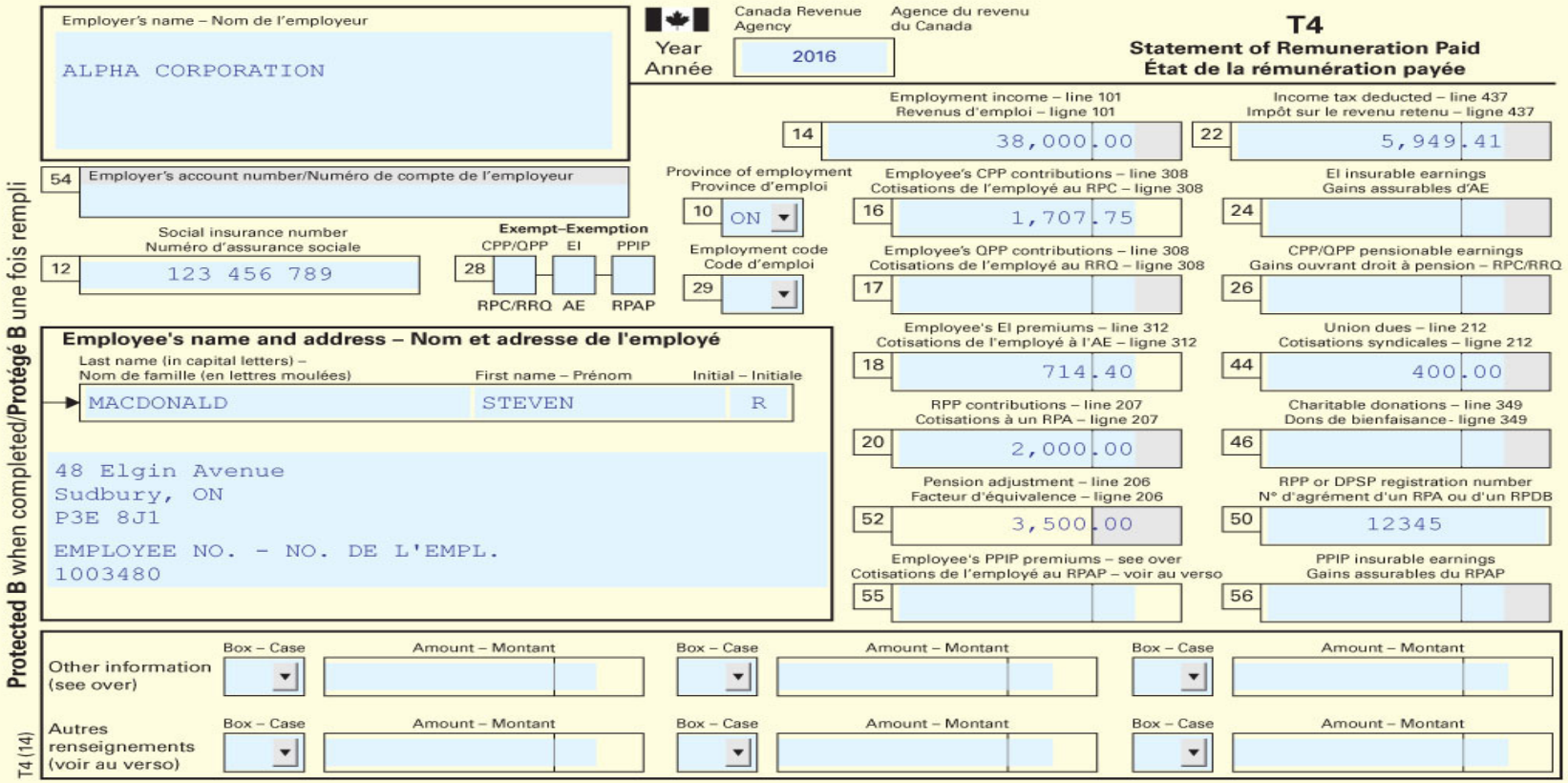
Filing Your Return (2 of 2)

- Penalty (if taxes are owing) is 5% of the amount owing, plus 1% for each additional full month that your return is late, to a maximum of 12 months
- Two ways to file a tax return: electronically (NETFILE) and mail
- You will receive a Notice of Assessment from the government confirming your calculations or providing corrections, plus advises your RRSP contribution limit for the following year

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T4 Slip (Salary and Deductions, from Employer)

EXHIBIT 4.3 T4 Slip



Source: T4 – Income Tax Guide 2016, Canada Revenue Agency (CRA). Retreived from http://www.cra-arc.gc.ca/E/pbg/tf/t4/t4flat-14b.pdf. Reproduced with permission of the Minister of Public Works and Government Services Canada, 2017.

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Interest Income

- interest earned from investments in various types of savings accounts at financial institutions; from investments in debt securities such as term deposits, GICs, and CSBs; and from loans to other individuals, companies, and governments
  - Tax is due on interest in the year it is earned, not in the year it is received
- T5 slip: a document provided to you when you receive income other than salary income

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Dividend Income (1 of 2)

- income received from corporations (from after-tax earnings) in the form of dividends paid on stock or on mutual funds that hold stock
- A dividend adjustment calculation (consisting of a dividend gross-up and dividend tax credit) reduces the income tax payable by shareholders

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Dividend Income (2 of 2)

- corporate taxes are higher for large public corporations than for Canadian-controlled private corporations (CCPCs). CCPCs are eligible for a small business deduction on their active business income
- Dividends paid by large corporations are eligible dividends; dividends paid by CCPCs are non-eligible dividends
  - Eligible dividend income is eligible for an enhanced dividend tax credit (discussed later)

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Capital Gains and Losses

- Capital gain: money earned when you sell an asset at a higher price than you paid for it
- Capital loss: occurs when you sell an asset for a lower price than you paid for it
- A taxable capital gain is currently equal to 50 percent of the capital gain
- An allowable capital loss is currently equal to 50 percent of the capital loss

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RPP/RRSP

PART 2

- Registered Pension Plan (RPP)
  - Deduct the total of all amounts shown in Box 20 of your T4 slips, in Box 32 of your T4A slips, and on any union or RPP receipts
- Registered Retirement Savings Plan (RRSP)
  - Limit is subject to change every year

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Union/Professional Dues

- Deduct the total amount shown in Box 44 of your T4 slips
- Professional dues refer to amounts that are paid by you to maintain your status within your area of employment

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Child Care Expenses

- Deductible if the child was under 16 or had a mental or physical infirmity during the year of your tax return
- Deductible amount depends on the:
  - Income of the lower-income spouse
  - Age of the child
  - Reason for the expenses being incurred
  - Dollar amount of the child care expenses being claimed

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Support Payments

- Spousal support payments are deductible
- Child support payments are deductible if the payments are being made with respect to a court order or written agreement established BEFORE May 1, 1997

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Carrying Charges

- General rule:
  - Deductible if the expenses is paid to earn income from business or property
- Includes fees for certain investment advice, safety deposit box fees, and interest paid on money borrowed for investment purposes

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Moving Expenses

- Deductible if incurred for the purpose of starting a new job or to attend a post-secondary educational institution
- Must be moving at least 40 km closer to the job or educational institution

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Employment Expenses

- Deductible if your employment contract requires you to pay certain expenses and you did not receive an allowance for the expenses or the allowance was included in your income as a taxable benefit

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Federal Marginal Income Tax Brackets and Rates

Exhibit 4.4 Federal 2017 Personal Marginal Income Tax Brackets and Rates

2017 Taxable Income	Tax Rate
First $45 282	15.0%
Over $45 282 up to $90 563	20.5%
Over $90 563 up to $140 388	26.0%
Over $140 388 up to $200 000	29.0%
Over $200 000	33.0%

Source: Federal 2017 Personal Marginal Income Tax Rates - http://www.taxtips.ca/taxrates/canada.htm (accessed January 29, 2017).

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Tax Credits (1 of 2)

- Specific amounts used to reduce tax liability
- Refundable tax credit: portion of the credit not needed to reduce your tax liability may be paid to you (e.g. GST credit, WITB, Ontario Property Tax Credit)
- Non-refundable tax credit: portion of the credit not needed to reduce your tax liability will not be paid to you and cannot be carried forward – MOST tax credits

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Non-Refundable Tax Credits (1 of 2)

Exhibit 4.5 2017 Federal Base Amounts

Non-Refundable Tax Credit	Federal Base Amount, 2017
Basic personal amount	$11 635
Spousal/common law partner amount	11 635
- Eliminated when spousal/dependent income exceed	11 635
Age amount (65+ years of age)	7225
- Eliminated when income exceeds	84 597
Disability amount	8113
Disability amount supplement for taxpayers under 18 years of age	4732
- Eliminated when child/attendant	7504
Canada caregiver credit - infirm adult dependent relative	6883
- Eliminated when relative's income exceeds	23 046

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Non-Refundable Tax Credits (2 of 2)

Exhibit 4.5 *Continued*

Non-Refundable Tax Credit	Federal Base Amount, 2017
Pension income amount	2000
Canada employment amount	1177
CPP contributions (employee)	2564.10
EI premiums (excluding Quebec)	836.19
Interest paid on eligible student loans	Amount paid
Tuition amount	Amount paid
Medical expenses amount	Amount paid in excess of 3% of net income of $2268, whichever is less

Source: 2017 Non-Refundable Personal Tax Credits – Base Amounts, excerpts to demonstrate Tax Credit Type. http://www.taxtips.ca/nrcredits/tax-credits-2017-base.htm (accessed November 5, 2017).

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Tax Credits (2 of 2)

- Generally, the base amount for a non-refundable tax credit is multiplied by the lowest marginal federal tax bracket (15% in 2017)
- The higher your marginal tax bracket, the greater the savings you will receive from a tax deduction relative to a tax credit

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Non-Refundable Tax Credit Examples (1 of 6)

- Basic Personal Amount (everyone claims)
- Spousal or Common-Law Partner Amount
  - Available to a taxpayer who supported a spouse or common-law partner who had a low net income

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Non-Refundable Tax Credit Examples (2 of 6)

- Age Amount
  - May be claimed by a taxpayer who was 65 or older on December 31 of the tax year in question
  - Clawback: used to reduce a particular government benefit provided to taxpayers who have income that exceeds a certain threshold amount
- Disability Amount
  - Must have had a severe and prolonged impairment in physical or mental functions during the tax year
- Disability Amount Supplement

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Non-Refundable Tax Credit Examples (3 of 6)

- Canada Caregiver Amount
  - Taxpayers may qualify for credit if they provided in-home care to a parent of grandparent 65-plus years of age, or to infirm adult relatives
- Pension Income Amount
  - Claim a credit on the first $2000 of eligible pension or annuity income

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Non-Refundable Tax Credit Examples (4 of 6)

- Canada Employment Amount
  - Employees are eligible to claim this non-refundable tax credit
- CPP/QPP Contributions
  - Claim the amount shown in boxes 16 and 17 of your T4 slip
- EI Premiums
  - Claim the amount shown in boxes 18 of your T4 slip

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Non-Refundable Tax Credit Examples (5 of 6)

- Interest Paid on Your Student Loans
  - Interest must have been paid on a student loan made to you under the Canada Student Loans Act, the *Canada Student Financial Assistance Act*, or similar provincial or territorial government laws for post-secondary education
- Tuition amount (education and textbook credits eliminated in 2017, pre 2017 amounts may be carried forward)

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Non-Refundable Tax Credit Examples (6 of 6)

- Medical Expenses Amount
  - To qualify, total medical expenses must be greater than either 3% of your net income of $2268, whichever is less
- In general:
  - net federal tax = tax payable − non-refundable tax credits (after multiplied by 15%)

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Transferrable Tax Credits

- Tax credits that can be transferred to other individuals
- Transferable Tax Credits:
  - Tuition amount (with annual limit)
  - Pension income amount (to spouse only)
  - Age amount (to spouse only)
  - Disability amount

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Tax Credits Eligible for Carry Forward

- Tax credits that may be carried forward
- Tax credits eligible for carry forward:
  - Medical expenses amount
  - Tuition amount
  - Former tuition, education and textbook amounts (pre-2017)
  - Charitable contribution amount

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Focus on Ethics: Reducing Your Taxes

- Tax planning: activities and transactions that reduce or eliminate tax
- Tax avoidance: legally applying tax law to reduce or eliminate taxes payable in ways that the CRA considers potentially abusive of the spirit of the *Income Tax Act*
- Tax evasion: when taxpayers attempt to deceive the CRA by knowingly reporting less tax payable than what the law obligates them to pay

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Tax Planning Strategies

- At filing time, ensure all deductions and credits are included
- Tax plan in advance:
  - What deductions and/or credits are available?
  - What type of income will minimize tax payable?
  - What records should you keep?
- Strategies:
  - Dividend and capital gain income
  - Registered accounts for tax-free income
  - Maximize RRSP contributions
  - Use tax credits

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Types of Income

- Interest income is earned on investments such as savings accounts, term deposits, GICs, and CSBs
- Dividends are classified as eligible or non-eligible and tax payable on eligible dividend income is reduced through an enhanced dividend gross-up and dividend tax credit
- Only 50 percent of capital gain is taxable

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(Tax-free) Sources of Income

- Student income from scholarships, bursaries, and fellowships is not taxable
- Certain amounts received from a Registered Education Savings Plan (RESP) or Registered Disability Savings Plan (RDSP) are received tax-free
- Amounts received from a tax-free savings account (TFSA) are received tax-free

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RESP (1 of 2)

- First $2500 of annual RESP contributions will be matched by a 20% CESG up to a maximum of $500
- Lifetime RESP contribution limit is $50 000
- CESG lifetime maximum is $7200 per child
- Some low income families may also be eligible for the Canada Learning Bond (CLB)

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RESP (2 of 2)

- Educational assistance payment (EAP): the taxable amount paid to a beneficiary from an RESP
  - Must be enrolled in a qualifying educational program
- Accumulated income payment (AIP): the taxable amount paid to a subscriber from an RESP

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Registered Disability Savings Plan (RDSP)

- a savings plan to help parents and others save for the long-term financial security of a person who is eligible for the disability tax credit
  - Contributions are not tax deductible
  - No annual maximum contribution limit
  - Lifetime limit is $200 000
  - Contributions can be made up to, and including, the year beneficiary turns 59

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Tax-Free Savings Account (TFSA) (1 of 2)

- a registered investment account that allows you to purchase investments, with after-tax dollars, without attracting any tax payable on your investment growth
  - Started 2009, must be Canadian resident, aged 18 and older
  - Contributions are not tax deductible
  - Contributions and any growth can be withdrawn tax-free
  - Unused contribution room is carried forward

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Tax-Free Savings Account (TFSA) (2 of 2)

- Any money you withdraw, contributions plus growth, is added back to your contribution room for the following calendar year
- Proceeds can be used for any purpose
- 2017 cumulative maximum is $52,000 and annual limit is $5,500 (indexed and rounded)

- RRSP Contributions (very common)
  - Tax deduction is based on your highest marginal tax bracket

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Deductions and Tax Credits

- In general, moving expenses may be claimed when moving to and from an educational institution as long as you are moving at least 40 kilometres in each direction
- Common non-refundable tax credits for students: basic personal amount, Canada employment amount, interest paid on eligible student loans, and tuition amount (and related carryforwards)

Free App:
TurboTax
SnapTax

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Record Keeping

- Maintain a record of the purchase transaction for capital assets, such as stock, in order to make the future calculation of capital gains or capital losses easier
- Maintain a record of the non-refundable tax credits that can be carried forward: the medical expenses amount, the tuition (education, and textbook) amount, and the charitable contribution amount
- At minimum, retain copies of your completed tax forms along with receipts for a period of seven years (in case of CRA audit)

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